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Professor Brian Fitzpatrick
Vanderbilt Law School

William Marra
Certum Group

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Agency Costs in Third-Party Litigation Finance Reconsidered

Brian Fitzpatrick* & William Marra†

Abstract

A common criticism of third-party litigation finance is that it can increase agency costs for litigants. One reason critics give for this is their belief that financiers will do something they are prohibited from doing: meddle in the litigants-lawyer relationship. But we think this gets things backwards. Because financiers cannot meddle in the litigation, they try instead to align their interests with the lawyers and the litigants. As we show here, although financiers do this imperfectly, the happy side effect of their efforts is very often to better align the litigants with their own lawyers. They do this by introducing hybrid fee arrangements that prior scholarship has shown to be superior to the contingency or hourly fees that litigants would have otherwise paid their lawyers. For these reasons, we believe much of the concern in the third-party litigation finance literature over exacerbated agency costs and who controls the litigation has been mistaken.

I. Introduction

Third-party litigation finance is the practice where a third party provides capital to a litigant or the litigant's lawyer in exchange for a right to some proceeds from the litigation.[1] The financier's investment is typically "nonrecourse" except to the legal claim: if the case fails, the funder recovers nothing.[2] Commentators have long been of two minds about third-party financing. Some commentators—including us—think that this financing is a good thing because, among other reasons, it allows plaintiffs to transfer litigation risk in the same way liability insurance allows defendants to do so; this could help level the litigation playing field and help lawsuits resolve closer to their merits.[3] But others believe that this financing is a bad thing because, among other reasons, it could lead to more litigation, to longer litigation, skew the cases selected for litigation, and increase agency costs for litigants.[4]

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* Milton R. Underwood Chair in Free Enterprise and Professor of Law, Vanderbilt Law School. We are grateful for comments and insights from the participants at the Conference on Third Party Litigation Funding: The Past, The Present and The Future at Tel Aviv University Faculty of Law, Paul Edelman, Maya Steinitz, and, especially, Shay Lavie.

† Director of Litigation Finance, Certum Group.

[1] THIRD-PARTY LITIGATION FINANCING: MARKET CHARACTERISTICS, DATA, AND TRENDS, U.S. GOV'T ACCOUNTABILITY OFFICE 1 (2020), https://www.gao.gov/assets/gao-23-105210.pdf.

[2] Ronen Avraham & Abraham Wickelgren, *Third-Party Litigation Funding-A Signaling Model*, 63 DEPAUL L. REV. 233, 244 (2014); Suneal Bedi & William C. Marra, *The Shadows of Litigation Finance*, 74 VAND. L. REV. 563, 574 (2021).

[3] Brian T. Fitzpatrick, *Can and Should the New Third-Party Litigation Financing Come to Class Actions?*, 19 THEORETICAL INQUIRES IN LAW 109, 113-15 (2018).

[4] *See id.* at 121-23.

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In this paper, we wish to address the last reason critics oppose third-party financing: it might exacerbate agency costs for litigants. The concern here is that the financier will meddle in the lawyer-litigant relationship. Financiers aren't supposed to do this—lawyers have an ethical duty to put their clients before themselves or any third party—but critics say this duty might be violated through explicit collusion or at least undermined by the invisible hand of the incentives of lawyers who repeatedly work (or want to work) on cases with the same financier. We argue here that this story gets things backwards. *Because* financiers have trouble controlling the litigation due to the ethical rules, they try to protect themselves in other ways. Most particularly, they try to align their interests with both the interests of the lawyers and the interests of the litigants. That way, they don't have to worry about controlling the litigation; they can let the invisible hand of incentives do the work for them. As we show, financiers do this imperfectly, but, in trying to align their interests with the others, they end up better aligning the others with one another. This should not be surprising. After all, it is simple mathematics: if A equals B, and A equals C, then B must equal C as well. And that, we argue, is more or less what happens. As we show, when financiers enter the litigation, they usually change how the lawyers are compensated by replacing hourly rates or pure contingency percentages with a hybrid formula that compensates lawyers with a portion of their hourly rates plus a percentage of any recovery. Scholars have long known that this hybrid formula binds lawyers more closely to their clients than hourly rates or pure contingency percentages that clients would otherwise pay. For these reasons, we believe much of the concern in the third-party litigation finance literature over agency costs and who controls the litigation has been mistaken.

In Part II of this paper, we recount the criticism that third-party financing will exacerbate lawyer-client agency costs. In Part III, we describe the most common third-party financing arrangements and show how they all introduce the hybrid fee formula to the lawyer-client relationship. In Part IV, we show how the hybrid fee formula is superior to the hourly fees or contingent percentages that clients would otherwise pay without financing. In Part V, we address why, if the hybrid formula is so favorable, the market for legal representation does not more often produce the arrangement on its own. In Part VI, we conclude.

II. Prior criticism of third-party litigation finance

In this article, we focus on the criticism that third-party litigation financing exacerbates preexisting lawyer-client agency costs.[5] It is unethical in the United States for lawyers to put the interests of third-party financiers before the interests of their clients,[6] and, for this reason, most financiers proclaim

[5] *See, e.g.*, Jeremy Kidd, *To Fund or Not to Fund: The Need for Second-Best Solutions to the Litigation Finance Dilemma*, 8 J. L. ECON. & POL'Y 613, 634 (2012) ("[L]itigation finance could . . . exacerbate the principal-agent problems already present in the legal profession.").

[6] ABA COMM'N ON ETHICS 20/20, WHITE PAPER ON ALTERNATIVE LITIGATION FINANCE 25-26 (2012), https://bit.ly/3IoduBX (discussing ethical rules requiring claimholders to control settlement and preserving the lawyer's independent professional judgment); Anthony J. Sebok, *The Inauthentic Claim*, 64 VAND. L. REV. 61, 110 (2011) (discussing court decisions holding that funding agreements that grant the funder settlement control may be unlawful). *But see infra* note.

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they never try to control litigation.[7] Nonetheless, critics think financing might lead lawyers to violate these duties in one of two ways.

First, lawyers might simply ignore their ethical duties and collude with the financier against the litigant. For example, Richard Painter has suggested that "a litigation insurer and lawyer together could collude to act opportunistically toward the lawyer's client, . . . translat[ing] into significant agency costs for the client."[8] Specifically, "the lawyer and insurer could collude to push for settlement of litigation that should go forward in order to get the insurer quick collection of its premium" or "the lawyer and the insurer might push to litigate a case because the insurer can diversify against unsystematic risk, although the client cannot."[9]

Second, even absent explicit collusion, lawyers might be tempted to do what they think financiers want rather than what their clients want because they might work on cases with the same financier more frequently than with the same litigants. For example, Radek Goral has noted that "[a] funder and her feeder law firms interact as repeat-players. [U]nless the client, too, has a long-term relationship with the attorney (for example, when a company repeatedly farms out litigation to the same law firm), she ends up being the only one-shotter at the table. This potentially makes her the weakest node in the triangle of litigation funding [and she] risks playing second, or maybe even third, fiddle."[10] Similarly, Susan Carle has argued "when the third-party funder [i]s a repeat player on whom the lawyer relie[s] for continued business," "the lawyer might face an impermissible conflict of interest . . . ."[11]

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[7] One notable example to the contrary was the high-profile dispute between Burford Capital and Sysco Corporation, where Burford attempted to exercise a contractual veto right over Sysco's settlement of an antitrust lawsuit. See *Sysco Corp. v. Glaz LLC*, No. 23-cv-1451 (N.D.Ill.). Burford stated that its standard contracts do not establish any control over settlement, but that the unusual circumstances of the Sysco case warranted "a unique set of contractual provisions" that included a limited consent right. The dispute settled when Sysco assigned its claims to a Burford affiliate. *See* Allison Frankel, *Sysco cedes antitrust claims to litigation funder Burford as two sides drop cases*, Reuters (June 29, 2023); Alison Frankel, *Sysco Sues Litigation Funder Burford, Blasts Boies Schiller over $140 Million Soured Deal*, Reuters (Mar. 9, 2023).

[8] Richard W. Painter, *Litigating on a Contingency: A Monopoly of Champions or a Market for Champerty?*, 71 CHI.-KENT L. REV. 625, 686 (1995). Painter wrote before the rise of the modern litigation financing industry, but his reference to a litigation "insurer" is analogous to modern litigation financiers.

[9] *Id. See also* Bert I. Huang, *Litigation Finance: What Do Judges Need to Know?*, 45 COLUM. J.L. & SOC. PROBS. 525, 527 (2012) ("[T]hird-party litigation financing . . . complicates the principal-agent problem by adding a new principal. [I]f banks and hedge funds have interests at stake, they may well want some say in how the litigation is run or in how and when it ends.")

[10] Radek Goral, *Skin in the Game: Why Business Lawsuits Get Third-Party Funded*, 30 Notre Dame J.L. Ethics & Pub. Pol'y 247, 269-71 (2016).

[11] Susan D. Carle, *The Settlement Problem in Public Interest Law*, 29 Stan. L. & Pol'y Rev. 1, 41 n.102 (2018). *See also* Michele DeStefano, *Nonlawyers Influencing Lawyers: Too Many Cooks in the Kitchen or Stone Soup?*, 80 FORDHAM L. REV. 2791, 2834 (2012) (citing critics' "arguments that claim funding agreements may interfere with a lawyer's ability to provide independent legal advice . . . or interfere with the lawyer's

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Not everyone agrees that the introduction of third-party litigation financing will exacerbate attorney-client agency costs. For example, Painter, after noting the concern, goes on to say that financiers could actually "mitigate rather than exacerbate agency costs in the lawyer-client relationship."[12] This is because, as "repeat players," financiers may be more knowledgeable about "lawyers' trial preparation, performance, integrity, and good judgment" and they can pass this information to plaintiffs, thereby "decreas[ing] the likelihood that a plaintiff's lawyer will act opportunistically toward his client."[13] Similarly, Michele DeStefano has argued that financiers can lend financial and project management expertise to lawyers and clients—something we second here in Part V when we discuss litigation budgets—as well as to monitor the lawyer to prevent the lawyer from shirking.[14] Beth Burch has written an entire article making the latter point in mass tort litigation[15] and Sam Issacharoff has made the same point in class action litigation.[16]

All these points are well and good, but we think they miss something even more important. Because it is so difficult for financiers to control litigation in light of lawyers' ethical duties, financiers try to align their interests with both the interests of the lawyers and the interests of the litigants instead. Although, as we show, financiers do this imperfectly, their efforts have a happy side effect: they end up aligning the litigants more closely with their own lawyers. This happens because financiers usually change how the lawyers are compensated by replacing hourly rates or pure contingency percentages with a hybrid formula that compensates lawyers with a portion of their hourly rates plus a percentage of any recovery. This formula binds lawyers more closely to their clients than the hourly rates or pure contingency percentages that preceded it.

We believe this effect of financing has gone underappreciated by commentators. Indeed, to our knowledge, the hybrid compensation formula has been mentioned by scholars only twice before, once,

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duty of loyalty creating a conflict of interest . . . ."); Joanna Shepherd & Judd Stone II, *Economic Conundrums in Search of A Solution: The Functions of Third-Party Litigation Finance*, 47 ARIZ. ST. L.J. 919, 956 (2015) ("[A]ttorneys that know of the external financing relationship are likely to make litigation decisions in response to it . . . ."); John Beisner et al., *Selling Lawsuits, Buying Trouble: Third-Party Litigation Funding in the United States*, U.S. Chamber Institute for Legal Reform (2009) ("[O]btaining funds from a third party to finance a case may . . . create conflicts of interest for the plaintiff's attorney, particularly the attorney's duty of loyalty.").

[12] Painter, *supra*, at 686.

[13] *Id.* at 686-87.

[14] *See* DeStefano, *supra*, at 2829-30.

[15] Elizabeth Chamblee Burch, *Financiers as Monitors in Aggregate Litigation*, 87 N.Y.U. L. REV. 1275 (2012).

[16] *See* Samuel Issacharoff, *Litigation Funding and the Problem of Agency Cost in Representative Actions,* 63 DePaul L. Rev. 561, 585 (2014).

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by Maya Steinitz,[17] and, once by Burch,[18] both as recommended best practices to mitigate lawyer-client agency costs. As we show, Steinitz and Burch are right: scholars demonstrated 45 years ago that the hybrid formula is better for clients. Moreover, financiers introduced the hybrid formula long before Steinitz and Burch recommended it. We believe that the hybrid formula may be the most powerful way third-party financing improves rather than aggravates lawyer-client agency costs.

III. Lawyer compensation in third-party funded cases

Third-party litigation financing comes in many shapes and sizes, but, in this Part, we confine ourselves to the paradigmatic case: a financier has agreed to pay only the lawyer fees and litigation expenses that arise on the plaintiff's side of a litigation.[19]

Consider an example: Paul has a breach of contract claim against Diane. Paul's lawyer, Lindsay, estimates that she will incur $6 million in fees litigating the case through trial and that she will need $2 million to pay expenses (e.g., expert fees, court filing fees, and travel expenses). The total expected cost to litigate the case is thus $8 million—a reasonable sum for a complex commercial dispute litigated by an AmLaw 100 firm.[20]

Absent third-party financing, Paul would probably finance his case using either hourly fees or contingency fees. In the former case, Paul would pay Lindsay by the hour for her work on the matter as well as pay all the litigation expenses. But Paul would retain 100% of the case proceeds if successful. In the latter case, Paul would pay nothing upfront to Lindsay for her time, and he might or might not

[17] Maya Steinitz, *Whose Claim is This Anyway? Third-Party Litigation Funding*, 95 MINN. L. REV. 1268, 1329 (2011).

[18] *See* Burch, *supra*, at 1319-20.

[19] Financing is also used to partially monetize legal claims by providing working capital to claimholders. *See, e.g., Comparing funding options: Fees & expenses vs. monetization* 3, *in* BURFORD CAPITAL, MONETIZATION 101: AN INTRODUCTION FOR COMPANIES AND LAW FIRMS, bit.ly/3RVADPj. But the vast majority of third-party financing goes to pay fees and expenses. See WESTFLEET ADVISORS, THE WESTFLEET INSIDER: 2022 LITIGATION FINANCE MARKET REPORT 6 (Feb. 2023) (reporting that in 2022, 86% of funding commitments were to finance legal budgets, compared to 14% used to monetize claims).

[20] *See* Emery G. Lee III, *Law Without Lawyers: Access to Civil Justice and the Cost of Legal Services*, 69 U. MIA. L. REV. 499, 503 (2015) (discussing the rising cost of legal services); Roy Strom, *Big Law Rates Topping $2,000 Leave Value 'In Eye of Beholder'*, Bloomberg Law (June 9, 2022), http://bit.ly/3RWCL9y (discussing rising billing rates among the country's most expensive law firms).

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have to pay some or all of the $2 million in litigation expenses; the market practices vary. But Paul would give up a significant portion (usually 33% or more[21]) of the case proceeds if the case succeeds.[22]

Third party litigation financing offers a different way to finance the case. With third-party financing, a financier shoulders some or all of the anticipated legal fees and expenses in exchange for a return on investment if the case succeeds. If the case fails, the financier receives nothing. If the case succeeds, the financier receives a return on investment. But because the financier is prohibited from taking control of the litigation by the rules of legal ethics, the financier is careful to structure everyone's payouts to ensure that neither the lawyer nor the litigant can take advantage of the financier, by, for example, in the case of the litigant, accepting a settlement offer that would be unfavorable to the financier or refusing a settlement offer that would be favorable to the financier, or, in the case of the lawyer, by shirking or overbilling. To prevent this, the financier attempts to align its interests with each of these other parties as closely as possible.

Consider first the litigants. We set forth demonstrative examples of common terms that financiers negotiate with litigants in the first three rows of Table 1, below.[23] Example 1 is the most straightforward. Here, the financier simply collects a percentage of the proceeds if the case is successful, usually in the range of 15% to 25%.[24] The alignment of interests is clear: the more the client receives from a settlement offer, the more the financier receives, too. Because of the time value of the financier's money, the financier usually insists upon an increasing percentage as the duration of

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[21] *See, e.g.,* Herbert M. Kritzer, RISKS, REPUTATIONS, AND REWARDS 39 (2004) (finding that a majority of contingency percentages in Wisconsin are one-third); Eric Helland & Seth A. Seabury, *Contingent-Fee Contracts in Litigation: A Survey and Assessment*, in RESEARCH HANDBOOK ON THE ECONOMICS OF TORTS 383, 385 (Jennifer Arlen ed., 2013) (surveying several studies and finding that "[f]ees are typically 33 percent"); David L. Schwartz, *The Rise of Contingent Fee Representation in Patent Litigation*, 64 Ala. L. Rev. 335, 356-57 (2012) (finding that the average fixed contingency percentage in patent litigation is 38.6% and the average variable percentage maxes out at 40.2%).

[22] Painter, *supra*, at 646 (describing the contingency fee arrangement as a risk-sharing device between plaintiff and lawyer).

[23] *See, e.g.*, Thomas Healy et al., *Litigation Finance Investing: Alternative Investment Returns in the Presence of Information Asymmetry*, J. Alternate Investments 110, 119 (Spring 2022) ("Pricing for litigation finance transactions may be based on a multiple of the amount of capital provided, a percentage of the recovery in the underlying claim, or some combination."); Burford Annual Report 2021 at 17 (stating that Burford's returns are typically expressed as "one or more of a combination" of: "a time-based return, such as an interest rate," "a multiple of our funded capital that may increase over time," and "a percentage of the net realization" that may "increase or decrease over time or depending on the size of the total resolution amount"); Allen Fagin & Ralph Sutton, *Tips for Negotiating Litigation Funding Agreements*, Law360 (Apr. 4, 2022)("Typically, the funder's return is based on a multiple of deployed capital, on a percentage of total case proceeds (or the greater of the two).").

[24] *See, e.g.,* Fagin & Sutton, *supra* (stating that in a "well-constructed funding," the claimant should receive 50% to 60% of case proceeds).

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the litigation grows.[25] (Because clients experience the same discount rate on money, it is not clear to us that this is necessary to align their interests, but the parties usually agree to it nonetheless.)

Table 1: Common Litigation Funding Examples

	Time to resolution		
	0-12 months	12-24 months	24+ months
Financier's Recovery Example 1	15% of case proceeds	17% of case proceeds	20% of case proceeds
Financier's Recovery Example 2	2x investment	3x investment	4x investment
Financier's Recovery Example 3	Greater of 2x investment or 15% of case proceeds	Greater of 2.75x investment or 17% of case proceeds	Greater of 3.35x investment or 20% of case proceeds
Lawyer's Payment	50% of time plus 15% of case proceeds	50% of time plus 17% of case proceeds	50% of time plus 20% of case proceeds

Although Example 1 is the most intuitive of our examples, it is probably the least used in the marketplace. The reason for this is that the litigant in this example is indifferent as to how much of the litigation budget is expended. If the financier has agreed to pay up to $8 million in fees and expenses, the litigant is thinking: why not spend it all before accepting a settlement offer? This may be an alternate explanation for the increasing percentages we discussed in the previous paragraph: it takes time to spend money, so, if the litigation is taking longer, the litigant is probably spending more of the financier's money. In order to generate a return on that additional money as well as discourage its overuse, the financier therefore demands an increasing percentage.

But the financier has a better way of guarding against overuse of the litigant budget: making the litigant pay back a multiple of whatever portion of the budget is expended if the case is successful. That is what the financier does in Example 2. Typical multiples range from 2 to 4.[26] As with Example 1, the multiple usually grows with time so the financier can recoup the time value of its money.[27] There is still a danger that the litigant in this example will settle the litigation for too little to repay the financier, but financiers solve this problem by demanding to be paid first out of any recovery;[28] the order of

[25] *See, e.g.*, Healy et al., *supra*, at 119 ("In a typical example, pricing increases the longer a case is expected to last."); Burford Annual Report 2021 at 24 (stating that many of Burford's "assets have time-based terms which will increase Burford's return as time passes").

[26] *See, e.g.,* Burford Annual Report 2021 at 17 (providing illustrative return structure where the funder might receive 2x to 4x its invested capital).

[27] *See, e.g.*, *supra* note 25.

[28] Fagin & Sutton, *supra* (providing an example of a "typical waterfall structure" where, first, the funder receives 100% of proceeds; second, case proceeds are distributed to the funder and lawyer until they receive their full returns; and third, proceeds are distributed 100% to the client); John J. Hanley, *Litigation Finance Waterfalls*, Rimon Law (Dec. 29, 2020), https://bit.ly/3KhE40l(experienced litigation finance deal lawyer writing that "[i]n our experience, it has always been the case that the financier's money is the first money out").

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payment in a funding agreement is often called the "waterfall."[29] With a good waterfall provision in place, Example 2 therefore limits the financier's downside in exchange for forgoing some of the upside the financier might have collected in Example 1.

But perhaps the best of both worlds for the financier is Example 3, where the financier essentially receives the greater of Example 1 or Example 2. The financier's downside is limited by the waterfall provision to a first-payout multiple of its investment, but the financier's upside is unlimited. At the same time, the litigant does not want to settle too early and is at least somewhat sensitive to the litigation budget.

Consider next the lawyers. We set forth demonstrative examples of the most common arrangements in the last row of Table 1. As the Table shows, no matter how financiers are compensated from litigants, their lawyers tend to be compensated in the same way: a hybrid formula—the most common of which may be the so-called "50/50 model," where the financier agrees to pay up to half of the budget for lawyers' fees with the lawyer required to shoulder the remaining half.[30] The financier and plaintiff induce the lawyer to do this by promising the lawyer a contingent percentage as well.[31] This percentage is often in the 15% to 25% range, and sometimes it grows as the duration of the litigation grows just like the financier's percentage does.

The hybrid formula is the product of the same drive to align incentives in the absence of the ability to control the litigation. Financiers do not want to pay all the lawyer's fees (even as capped by the anticipated budget) to ensure that the lawyer will have a strong incentive to efficiently litigate the case; the incentive to drag out litigation is a principal drawback of the hourly fee model. At the same time, financiers want lawyers to have skin in the game to ensure they have the incentive to maximize the

[29] Woodsford, *A Practical Guide to Litigation Funding* at 10 https://bit.ly/3Dx2Jds.

[30] *See, e.g.*, David J. Kerstein & William C. Marra, *The Fundamentals, Functions, and Ethics or Litigation Finance*, 33 NYSBA Int'l Law Practicum 24, 25 (2020); Ron Friedman, *Litigation Finance-How it Works at Bentham*, Prism Legal (2016).

[31] *See The Shadows of Litigation Finance*, *supra* note, at 572 (describing a "common arrangement" in litigation financing where "the funder pays half of the attorneys' fees, with the law firm forgoing payment on the remaining fifty percent of its fees in exchange for a share of case proceeds if the plaintiff wins"); Radek Goral, *Skin in the Game: Why Business Lawsuits Get Third-Party Funded*, 30 NOTRE DAME J.L. ETHICS & PUB. POL'Y 247, 267–68 (2016) (concluding, based on interviews with funders, lawyers, and financial advisers, that funders typically require law firms and claimholders to share in the investment in the case); *see also* David J. Kerstein & Wendie Childress, *Mechanics of Litigation Finance*, BLOOMBERG L. 2 (Nov. 2019), https://bit.ly/31JEi90 [https://perma.cc/HSQ5-YTVE]; *Understanding How Litigation Funding Enhances Attorney Effort*, OMNI BRIDGEWAY: BLOG (July 8, 2016), https://bit.ly/2SBppkS [https://perma.cc/56UJ-BCDV].

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case's value, and, in turn, in at least some of the examples, the financier's return on investment.[32] Thus, the financier insists the lawyer take a contingency percentage in the case as well.[33]

Consider Paul's case. There, a financier would likely agree to pay for half of Lindsay's time up to the $6 million budget under the "50/50 model." Lindsay would not be paid upfront for the other half of her time. Instead, she would get a contingent percentage. Meanwhile, the financier might pay 100% of the litigation expenses up to the $2 million budget. If the case goes over budget, the financier might require Lindsay to shoulder the excess legal fees, and either Lindsay or Paul to shoulder the excess litigation expenses. Thus, the financier's total investment could be as high as $5 million, but it might be lower if the case resolves more quickly than anticipated. In exchange, if the case fails, the financier would receive nothing and Lindsay would be stuck earning only half the value of her time. But, if the case succeeds, the financier and Lindsay might receive something like the examples in Table 1, subject to whatever the "waterfall" provision says. If all goes according to plan, when Lindsay and Paul act in their own best interests, it will also be in the best interests of the financier.

With all that said, Table 1 is not going to win a law-and-economics competition for the best possible formulae to align the interests of financiers with litigants and their lawyers. Example 2 is particularly clunky with its abrupt step ups: a litigant would rather take much less one day before the next year than much more the day after, while the financier would prefer the opposite. Moreover, the recoveries of the lawyer and litigant in Example 2 are only weakly correlated with the financier's. Further, in light of the waterfall, it is possible that a litigant that accepts a low settlement offer could end up with nothing in Examples 2 and 3; the drive to avoid this could lead the litigant to go to trial when the financier would have preferred the settlement. Finally, Table 1 does not include discussion of litigation expenses; practices there are varied, and how they are divvied up could increase or decrease the financier's agency costs.

But our point here is not to show that financiers are perfect at aligning their own interests with litigants and their lawyers; they aren't. Our point here is simply that they try, and, as we show next, their efforts have a very beneficial, if not entirely surprising, side effect on the litigant-lawyer relationship.

IV. Why hybrid compensation improves the lawyer-litigant relationship

Clients in the market for legal representation in the United States almost always agree to pay their lawyers in one of two ways: hourly fees or a contingency percentage of any recovery in the lawsuit. If

[32] Goral, *supra* note __, at 267 (explaining that litigation funders do not want to entirely de-risk firms, and prefer for the firms to have financial update in the case).

[33] There are other advantages of insisting lawyers have skin in game. Perhaps most importantly, a lawyer's willingness to meaningfully discount its fees serves as an important signaling mechanism about the case's merits. *Cf.* Goral, *supra* note, at 267 (discussing funders' concerns about lawyers' asymmetric informational advanced over funders). After all, the lawyer will almost always know more about the case than the financier: the lawyer will have spent many more hours working on the case; the lawyer can receive attorney-client privileged information; and only the lawyer may be able to review materials disclosed under a protective order. If the lawyer is unwilling to put some of its fees at risk, this signals to the financier that the case may not be as strong as advertised; financiers, of course, want to invest in the strongest cases.

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clients could perfectly monitor their lawyers—that is, if clients could ensure their lawyers would do exactly what they wanted them to do every time—it would not matter much which of these arrangements was employed. Indeed, clients could even pay their lawyers fixed fees, which they do on rare occasion. In all these arrangements, the outcome in the case should be the exact same. Clients would presumably want the arrangement that would be cheapest in a given case, but, depending on the relative risk aversion of client and lawyer, we could imagine them agreeing to any arrangement.

Of course, in the real world, clients cannot perfectly monitor their lawyers. Hence, the possibility of agency costs arises. Under the conventional lawyer compensation formulae, these agency costs are real and substantial. On the one hand, hourly fees render the lawyer completely indifferent to the magnitude of the client's recovery and outright adverse to the client on the speed with which it comes about.[34] On the other hand, although the lawyer is not indifferent to the size of recovery with contingent percentages, the lawyer is still adverse to the client on speed, just in the opposite direction: the lawyer wants to settle too quickly because the lawyer must bear all the effort of going forward with the litigation while collecting only a fraction of the return on effort; this incentivizes the lawyer to want to settle prematurely even if it means a smaller recovery.[35] The lawyer's interest in premature settlement can be mitigated if the fee percentage escalates as the recovery increases or the litigation matures, but it cannot be eliminated.[36]

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[34] *See, e.g.*, Brian T. Fitzpatrick, *Do Class Action Lawyers Make Too Little?*, 158 U. PA. L. REV. 2043, 2051-52 (2010) ("Under the lodestar method, class counsel's compensation increased the longer the litigation wore on; class members, by contrast, prefer cases to end as quickly as possible so they can receive their compensation as quickly as possible. Moreover, class counsel were compensated irrespective of how much they recovered for the class; class members, by contrast, prefer to receive as much as possible").

[35] *See* Murray Schwartz & Daniel Mitchell, *An Economic Analysis of the Contingent Fee in Personal-Injury Litigation*, 22 STAN. L. REV. 1125 (1970); STEVEN SHAVELL, FOUNDATIONS OF ECONOMIC ANALYSIS OF LAW 435 (2009) ("Under contingency fee arrangements . . . the lawyer . . . press[es] for settlement more often than when the settlement offer exceeds the expected judgment net of litigation costs because the lawyer bears all the litigation costs but obtains only a percentage of the settlement."). *But see* Mitchell Polinsky & Daniel Rubinfeld, *A Note on Settlements Under the Contingent Fee Method of Compensating Lawyers*, 22 INT'L REV. L. & ECON. 217, 217 (2002) ("[T]he lawyer could have an insufficient motive to settle, the opposite of what is usually believed.").

[36] *See* Jill E. Fisch, *Lawyers on the Chopping Block: Evaluating the Selection of Class Counsel by Auction*, 102 COLUM. L. REV. 650, 679 (2002) ("By increasing the reward to counsel, increasing percentage bids reduce the incentive for cheap settlements and motivate counsel to pursue high levels of recovery."); John C. Coffee, Jr., *Understanding the Plaintiff's Attorney: The Implications of Economic Theory for Private Enforcement of Law Through Class and Derivative Actions*, 86 COLUM. L. REV. 669, 697 (1986) ("[T]he most logical answer to this problem of premature settlement would be to base fees on a graduated, increasing percentage of the recovery formula—one that operates, much like the Internal Revenue Code, to award the plaintiff's attorney a marginally greater percentage of each defined increment of the recovery. While this approach cannot be said to eliminate the inevitable tension between the interests of plaintiff's attorneys and their clients in class actions, it can at least partially counteract the tendency for premature settlements."); Bruce L. Hay, *Optimal Contingent Fees in a World of Settlement*, 26

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There is a better way, however, and it is the hybrid formula. In an underappreciated article written 45 years ago, Kevin Clermont and John Currivan showed that a hybrid formula where the lawyer collects an hourly fee in addition to a contingent percentage almost always reduces agency costs compared to either hourly fees or contingent percentages alone.[37] The genius of this formula is that it pits the hourly fees and contingent percentages against one another to improve upon them both: the percentage component of the formula incentivizes the lawyer to care about the magnitude and speed of the recovery while the hourly component mitigates the incentive to settle prematurely.

The hybrid formula studied by Clermont and Currivan did not perfectly align the lawyer's incentives with the client's interests and it did not always beat the pure percentage method; there are a small number of cases where the percentage method could be superior.[38] But the hybrid formula they studied was different than the one used by third-party financiers: their formula made even the hourly fees contingent on some recovery by the client;[39] as we explained above, the formula used by financiers typically pays the lawyer something by the hour no matter what happens in the case. Subsequent scholars have shown that the hybrid formula with non-contingent hourly fees is *even better* than the one studied by Clermont and Currivan—indeed, if the hourly fees are paid by a third-party and set correctly, it can actually *perfectly align* the lawyer's incentives with the client's interests.[40]

Hourly fees paid by a third-party? That sounds like third-party litigation financing! Indeed it does: the fee formula introduced to litigation when third-party financiers become involved more closely binds lawyers and litigants together than what litigants had likely agreed to pay beforehand.

To be clear, we cannot claim that the hybrid formula introduced by third-party financiers will *perfectly align* the incentives of the lawyer and the interests of the client. The scholarship is precise on what portion of the hourly fees the third party must pay to accomplish this: the complement of the portion

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J. LEGAL STUD. 259, 260 (1997) ("[T]he bifurcated fee structure is preferable to the unitary structure . . . . The optimal bifurcated fee often couples a relatively high trial percentage for the lawyer (one that would be excessive if the case were actually going to trial) with a relatively low settlement percentage. The rationale of the large trial percentage is that it generates a large settlement; the rationale of the small settlement percentage is that it avoids paying the lawyer for (trial) work he does not perform.").

[37] *See* Kevin M. Clermont & John D. Currivan, *Improving on the Contingent Fee*, 63 CORNELL L. REV. 529, 564-566 (1978) (showing that whether the client is more risk averse than the lawyer "the lawyer's and the client's thresholds of acceptance . . . coincide more closely . . . than under the two present fee systems").

[38] *See id.* at 619, 622.

[39] See id. at 581 ("The contingent hourly-percentage fee is payable only in the event of recovery and equals the sum of two components: (1) the lawyer's time charge for the hours devoted to the case; and (2) a percentage (x) of the amount by which the recovery (s) exceeds that time charge.") (citations omitted).

[40] *See* A. Mitchell Polinsky & Daniel Rubinfeld, *Aligning the Interests of Lawyers and Clients*, 5 AMER. L. & ECON. REV. 165, 166-69 (2003) (proposing a third-party administrator to "contract with the lawyer and agree to pay him for the appropriate fraction of his time."); Alon Klement & Moran Ofir, *Auctioning Class Action Representation*, 38 J. L. ECON. & ORG. 613, 616 (2021) (proposing an auction to select the third party).

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the lawyer earns of the litigation proceeds.[41] Thus, if the lawyer collects 25% of the client's recovery, then the third party would have to pay the lawyer 75% of their hourly rate to perfectly align the lawyer and the litigant. None of the hybrid formulas we depicted in Table 1 did that. For example, given the popularity of the "50/50 model" where the financier pays 50% of the lawyer's fees, the lawyer would have to collect 50% of the litigation proceeds as well to be perfectly incentivized. Moreover, no one has modeled the hybrid formula where litigants pay a *multiple* of the lawyer's hours as they might in Examples 2 and 3. Further, the lawyer's incentives will begin to diverge again from the litigant if the lawyer has gone over the litigation budget and is no longer collecting a portion of its hourly rate from the financier. Finally, the terms of the "waterfall" provision could affect the lawyers' incentives in cases that underperform.

But our goal here is not to show that third-party financing is perfect; it is only to show that it is better for litigants than either the hourly rates or contingency percentages litigants are stuck with before financing enters the picture. And it surely is. But this does raise a puzzle: if the hybrid fee formula is so good for litigants, why don't litigants and lawyers agree to it on their own? They do on very rare occasion.[42] But why not more often? We explain why financiers are needed to get the job done in the next Part.

V. Why doesn't the market for lawyers produce hybrid arrangements on its own?

We believe there are several reasons why hybrid arrangements have not been common before the rise of litigation funding. First, modern litigation is highly complex and unpredictable, making it difficult for lawyers and litigants to accurately predict at the beginning of an engagement how much work will be required in a particular case. If lawyers are risk averse, this fact creates a strong bias against working on a full or partial contingent fee (or fixed fees for that matter) and in favor of the hourly fee model.[43] Meanwhile, the large corporate clients that major firms usually service are less risk-averse and more able (and perhaps willing) to bear the full cost of litigation in exchange for all the rewards. Because lawyers tend to be more risk averse than the large institutional clients at major law firms, the corporate market has gravitated towards clients bearing the risk of unexpectedly high costs of litigation by having clients pay an hourly fee rather than having lawyers provide a contingent fee.[44]

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[41] *See* Polinsky & Rubinfeld, *supra*, at 167-69.

[42] For example, while in private practice, one of us represented a Fortune 100 company in a matter where the company paid only half the law firm's hourly rates but the firm took a 10% stake in the outcome.

[43] *See* George B. Shepherd & Morgan Cloud, *Time and Money: Discovery Leads to Hourly Billing*, 1999 U. Ill. L. Rev. 91, 95-96. It is true personal injury plaintiffs' lawyers almost always handle cases on a full contingency. Painter, *supra,* at 626 n.3 (estimating that 95% of personal injury cases are litigated on a contingent fee); *see also* Clermont & Currivan, *supra* note, at 531 n.2 (asserting that "[t]he contingent fee is almost the exclusive method of financing personal-injury litigation"). They may be exceptional people insofar as they are risk preferring rather than risk averse. Or they may lack the market power to work for clients who can pay by the hour.

[44] *See* Shepherd & Cloud, *supra* note 43, at 95-96.

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Second, the business model of major law firms strongly discourages lawyers from offering clients present-day discounts on their fees in exchange for a contingent future share of case proceeds. ABA Model Rule 5.4 bars law firms from sharing fees with non-lawyers; this rule prohibits law firms from accessing traditional capital markets and effectively forces law firms to be run as partnerships or variants thereof.[45] Meanwhile, ABA Model Rule 5.6 prohibits law firms from requiring lawyers to sign non-competes or otherwise agree not to leave the firm.[46] The net effect of these rules is to force law firms to operate as cash businesses that distribute most profits at the end of each year, while limiting law firms' ability and incentives to make long-term capital investments—including the long-term investment that is working on a contingent fee.[47] This bias against the contingent fee is exacerbated by increased competition among law firms and the *American Lawyer* rankings' emphasis on short-term profitability, which has led law firms to prize the billable hour and avoid deferring fees today for a contingent payout tomorrow.[48] Although many plaintiff-side firms surmount these difficulties for a while, they are not known for their durability.

Third, and relatedly, major law firms tend to focus on corporate and defense-side work, not plaintiff-side litigation. Corporate and defense-side work are also less amendable to contingent fees than plaintiff-side litigation, since only the latter typically results, upon success, in a cash payment to the plaintiff.[49] Corporate and defense-side lawyers—who typically have powerful seats at the management table of law firms—will be reluctant to effectively subsidize the plaintiff-side litigation of their colleagues, and receive reduced income this year, in exchange for a contingent payout in the future.[50] This increases pressure on plaintiff-side litigators to bill on a pure hourly fee model rather than offer a full or partial contingent fee.

Fourth, there are efficiency and administrative benefits to both law firms and clients to working under a single payment model rather than a hybrid. The contingent fee model usually does not require lawyers to track their hours or clients to pay monthly bills,[51] while the hourly fee model does not require either the client or the law firm to monitor their spending against a fixed budget the way a litigation funding arrangement often does. The hybrid model used by financiers, by contrast, requires law firms and clients to adopt a legal budget at the outset of the case and then manage that budget throughout the case. Although corporate litigants sometimes require law firms to work against a fixed

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[45] MODEL RULES OF PROF. CONDUCT r. 5.4(a) (Am. Bar Ass'n 2020).

[46] *Id.* r. 5.6(a).

[47] *See* Edwards S. Adams & John H. Matheson, *Law Firms on the Big Board?: A Proposal for Nonlawyer Investment in Law Firms*, 86 CALIF. L. REV. 1, 30-35 (1998); John Morley, *Why Law Firms Collapse*, 75 BUS. LAWYER 1399, 1411, 1415 (2019-2020).

[48] *See* Stuart L. Pardau, *Bill, Baby, Bill: How the Billable Hour Emerged as the Primary Method of Attorney Fee Generation and Why Early Reports of Its Demise May Be Greatly Exaggerated*, 50 IDAHO L. REV. 1, 5 (2013).

[49] *See* Painter, *supra* note, at 697 n.3; Steinitz, *supra* note, at 1277.

[50] *See* Shepherd & Cloud, *supra* note, at 132.

[51] An exception would be circumstances where a court might eventually review the law firm's time invested in the case, such as class action litigation.

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budget, most are not accustomed to this and therefore rarely equipped to evaluate whether a law firm selected a reasonable budget.

And these are just some of the reasons. Simple inertia also explains the staying power of the full hourly and full contingent model, while offering hybrid fees may have historically been seen by law firms as sending negative signals to the market about the firm's quality and business pipeline.

These factors have slowed the spread of hybrid arrangements, though ever since the Great Recession, cost-conscious clients and their general counsel office have pushed law firms to more broadly adopt alternative fee arrangements like the one we describe. Clients reportedly favor the hybrid arrangements for some of the same agency cost concerns we discuss: many clients believe hybrid fee arrangements help contain costs, increase a law firm's efficiency, and avoid overbilling.[52]

We believe litigation financiers have played a significant role in moving law firms and clients towards accepting hybrid arrangements. Financiers have expertise in estimating reasonable budgets for complex litigation, and in monitoring the law firm's utilization of that budget over the course of a litigation, allowing clients to offload the administrative costs associated with hybrid fee models.[53] Financiers also have expertise in selecting the strongest cases for investment; risk-averse lawyers who might otherwise balk at providing a full or partial contingent fee are likely to become less risk averse and more willing to put a percentage of their fees at risk when the case has survived a commercial funder's exhaustive diligence process. Finally, litigation financiers have increased competitive pressures in the market for legal services both by advertising to litigants the benefits of hybrid fee arrangements and by allowing more law firms to compete for plaintiff-side work. Law firms are likely responding to these competitive pressures by agreeing to move away from their preferred hourly fee model in at least their clients' strongest cases.

VI. Conclusion

We think critics have gotten backwards the agency-cost story of third-party litigation finance. Financers do not exacerbate agency costs by illegally meddling with the lawyer-client relationships. Rather, because it is difficult to legally meddle in the litigation, they protect themselves instead by trying to align their interests with the lawyer and the litigant. As we show, the happy and predictable side effect of these efforts is that they end up better aligning the lawyer and litigant with each other, too. They do this by introducing hourly-rate-plus-contingency-percentage hybrid compensation for the lawyer. As a result, we believe much of the concern in the third-party litigation finance literature over exacerbated agency costs and who controls the litigation has been mistaken. Indeed, we believe one reason why financing has become so popular with litigants is because financiers are able to induce their lawyers to accept this hybrid compensation.

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[52] *See* ABA Comm. on Lawyer Bus. Ethics, *Business and Ethics Implications of Alternative Billing Practices: Report on Alternative Billing Arrangements*, 54 BUS. LAW. 175, 178-79 (1998); Sara Lord, *Analysis: Will AFAs Become Standard Practice This Time Around?*, Bloomberg (May 18, 2020), http://bit.ly/3lLCtGA.

[53] *Cf.* Burch, *supra* note __.

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